Option to Purchase When Buying a Resale Flat

Resale Flats

- Process for Buying a Resale Flat
  - Overview
  - Resale Flat Planning
  - Option to Purchase
    - Request for Value
  - Resale Flat Application
  - Resale Flat Completion
- Finding a Resale Flat
- Conditions After Buying a Resale Flat

After you have obtained a valid HDB Flat Eligibility (HFE) letter, considered your mode of financing and worked out your budget, you may proceed to look for a suitable flat that meets your budget. Once you have decided on a flat and agreed on a price for it, you may proceed to obtain an Option to Purchase (OTP) from the flat sellers.

If you intend to get an HDB housing loan, you must have a valid HFE letter from HDB indicating your eligibility for HDB housing loan before the flat sellers may grant you an OTP. If you intend to get a housing loan from a financial institution, you must have a valid Letter of Offer (LO) before you exercise the OTP. You may concurrently request an In-Principle Approval and LO from participating financial institutions when applying for the HFE letter through My Flat Dashboard.

You and the flat sellers must use the HDB-prescribed OTP for the resale transaction. Any other agreements and/ or supplementary agreements relating to the sale or purchase of the flat are not valid under the Housing and Development Act.

Print only 1 copy of the OTP as each form has a unique serial number. You must state the serial number of the OTP when you submit a resale application to HDB.

The OTP is a legally binding contract between you and the flat sellers. Read the Important Notes of the OTP and the Terms and Conditions of Resale carefully before entering into a contract.

Deposit to sellers

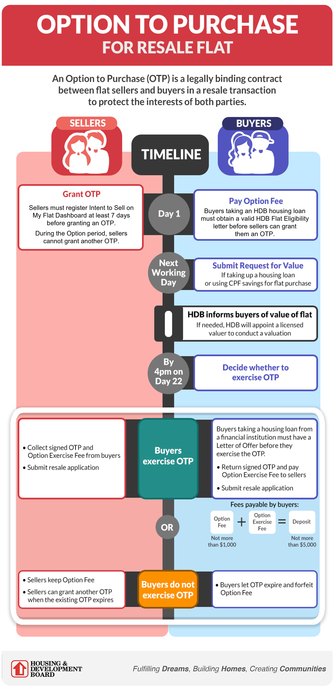
You must pay flat sellers an Option Fee when they grant you an OTP, and an Option Exercise Fee when you exercise the OTP.

You may negotiate the amounts of Option Fee and Option Exercise Fee with the flat sellers, which will form part of the resale price.

Payment by flat buyers to sellers	Stage of OTP	Amount to pay
Option Fee	Granting of OTP	Between $1 and $1,000
Option Exercise Fee	Exercising of OTP	An amount, which when including the Option Fee, will not exceed $5,000

You are encouraged to make payment using digital payment modes to secure independent proof of payment.

Procedure to enter into a contract using the OTP



Read the steps below for more details.

Step 1: Negotiate and agree on the resale price

You and the flat sellers must mutually agree on the resale price of the flat.

Step 2: Sellers grant the OTP to you

The flat sellers will grant you the OTP to buy the resale flat at the agreed resale price.

Step 3: Review purchase during Option Period

The OTP is valid for 21 calendar days from the date the OTP is granted.

Step 4: Exercise the OTP or allow OTP to expire

To proceed with the flat purchase, you must exercise the OTP within the Option Period. Otherwise, you must wait for the OTP to expire.

Step 5: Submit the resale application

After you have exercised the OTP, you and the sellers must decide when to submit the respective portions of the resale application to HDB.

Next steps

Request for Value for a Resale Flat

Learn more about submitting a Request for Value when buying a resale flat.

Resale Flat Application for Buyers

Find out how to submit a resale application and what to expect after the submission.

Resale Flat Completion for Buyers

Learn more about the resale completion and what you need to do before and during the appointment.

Conditions After Buying a Resale Flat

Learn about the conditions that flat owners and occupiers have to follow after buying their resale flat.

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